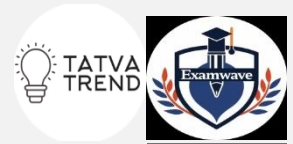

AUDIT



Follow
on :Youtube/TatvaTrend

In collaboration with
EXAMWAVE

*Deliberate practice
is the key to success*

Table of Contents

Part I

1. Introduction
2. Meaning of Audit
3. Meaning of Auditing
4. Difference Between Accounting and Auditing
5. Objectives of Auditing
6. Types of Audit

Part II

1. Auditor: Meaning
2. Types
3. Qualifications,
4. Appointment ,
5. Rights, and Duties

Part III

1. Verification of assets
2. Valuation of Assets
3. Vouching

Part I

Audit

The term 'audit' originated from the Latin word 'audire' which means 'to hear'? ▪ The increased complexity of a business has greatly expanded the scope of auditing. ▪ Although it includes the examination of cash transactions, yet the main object of modern audit is to verify the financial position of a business as disclosed by its Balance Sheet and Profit and Loss Account.

Auditing

Auditing is a systematic and independent examination of data, statements, records, operations and performances (financial or otherwise) of an enterprise to ensure the compliance with certain set standards

Difference between Accountancy and auditing

S. No.	Basis of Difference	Accountancy	Auditing
1	Function	Includes in its scope the task of recording, classifying, and summarizing financial transactions.	Includes in its scope the examination and verification of the work of accountancy.
2	Beginning	Begins where bookkeeping ends.	Begins where the work of accountancy ends.
3	Basis	Not based upon auditing.	Completely based upon accountancy.
4	Qualification	No predetermined qualification required for doing the work of accountancy.	Requires professional qualification; the person must be a Chartered Accountant.
5	Report	The accountant is not required to submit any report about his work.	It is mandatory for the auditor to submit a report about his findings.

Objectives of Auditing:

1. Primary Objectives:

- **Enhances Credibility:** Auditing enhances the credibility of financial statements by providing assurance to stakeholders that the information provided is reliable and accurate.
- **Prevents Fraud:** Auditing helps in detecting and prevent fraud by examining the financial statements of a company and identifying any irregularities.
- **Improves Internal Control:** Auditing helps in improving internal controls by identifying weaknesses in the internal control system and providing recommendations for improvement.
- **Ensures Compliance:** Auditing ensures that the company complies with laws and regulations by examining the financial statements and verifying that they are prepared in accordance with accounting principles.

2. Secondary Objectives:

- **Detection of Clerical Errors:** Identify arithmetic mistakes, omissions, or duplications.
- **Performance Review:** Assess the effectiveness and efficiency of financial controls and internal processes.
- **Improvement Recommendations:** Suggest improvements in the organization's internal controls and financial practices.

Types of Audit

A) On the Basis of Ownership

1. **Audit of Proprietorship:** In case of sole-proprietor- ship, the owner himself takes the decision to get the accounts audited.
2. **Audit of Partnership:** To avoid mis-statement of financial statements, partners audit their accounts. Auditor is appointed by the mutual consent of all the partners.
3. **Audit of Companies:** Under Companies Act, audit of company accounts in India has been made compulsory. Chartered accountant who is professionally qualified is required for the audit of company accounts.

AUDIT

4. **Audit of Accounts of Co-operative Societies:** The auditor of the Co-operative Society should have an expert knowledge of the particular act under which Co-operative society is functioning.

5. **Government Audit:** A separate department is maintained by government of India known as Accounts and Audit Department for carrying out the auditing of Government accounts. This department is headed by the Comptroller and Auditor General of India and works only for the government offices and departments.

B) Based on Time

1. Interim Audit:

- When an audit is conducted between two annual audits, such audit is known as Interim audit.
- It may involve complete checking of accounts for a part of the year. Sometimes it is conducted to enable the board of directors to declare an Interim dividend. It may also be for the purpose of dealing with interim figures of sales.

2. Continuous Audit: The Continuous Audit is conducted throughout the year or at the regular short intervals of time.

3. Final Audit: Final Audit means when the audit work is conducted at the end of the financial year

C) Based on Objectives

1. Internal Audit:

- It implies the audit of accounts by the staff of the business.
- internal audit is an appraisal activity within an organization for the review of the accounting, financial and other operations as basis for protective and constructive service to the management.
- it is a type of control which functions by measuring and evaluating the effectiveness of other types of control. It deals primarily with accounting and financial matters but it may also properly deal with matters of operating nature.

2. Cost Audit: Cost audit is the verification of the correctness of cost accounts and adherence to the cost accounting plans. Cost audit is the detailed checking of costing

AUDIT

system, techniques and accounts to verifying correctness and to ensure adherence to the objectives of cost accounting.

3. Secretarial Audit: Secretarial audit is concerned with verification compliance by the company of various provisions of Companies Act and other relevant laws. Secretarial audit report includes: (a) whether the books are maintained as per companies act, 2013 (b) whether necessary approvals as required from central Government, Company law board or other authorities were obtained

4. Independent Audit:

- Is conducted by the independent qualified auditor. The purpose of independent audit is to see whether financial statements give true and fair view of financial position and profits.
- mainly it is for safeguarding the interest of owners, shareholders and other parties who do not have knowledge of day- to-day operations of organization.

5. Tax Audit:

- Now-a-days, tax audit has become very important to ascertain the accuracy of tax related documents. Tax audit mostly covers income returns, invoices, debit and credit notes and various current and fixed assets.
- Tax audit is an innovation of 21st century. It has added one more chapter to the practice of auditing. Tax audit ensures the validity and credibility of tax related documents.

6. Information Systems Audit:

- Information systems audit focuses on evaluating an organization's IT systems, processes, and controls to ensure data integrity, confidentiality, and availability.
- Information systems audits typically involve reviewing the organization's IT infrastructure, security measures, data management practices, and compliance with IT policies and standards.

7. Performance Audit:

- Performance audit focuses on evaluating an organization's performance and results achieved against established goals, targets, or benchmarks.
- Performance audits can be conducted by external auditors, internal auditors, or other specialized auditors, and can cover various areas such as government

AUDIT

programs, nonprofit organizations, and private businesses. Qualities and Qualifications of an Auditor

The qualities of an auditor as classified below.

1. Professional qualification, i.e., Statutory qualification
2. Professional qualities, i.e., Personal qualification
3. Personal qualities, i.e., General qualities

1. Professional Qualification/Statutory Qualification of an Auditor:

- In the case of sole trading concern and partnership the law has not prescribed any qualification for an auditor. However, in the case of auditors of joint stock companies, the auditor must be a Chartered Accountant within the meaning of Chartered Accountant Act, 1949.
- He must pass Chartered Accountant (CA) examination conducted by the Institute of Chartered Accountants of India (ICAI)
- to be entitled to practice, a chartered accountant should obtain a certificate of practice from the council of the ICAI on payment of a prescribed annual fee.

2. Professional Qualities/Personal Qualification of an Auditor:

- (a) The auditor must have a thorough knowledge of the principles, theories and practice of accounting.
- (b) The auditor must be familiar with the different system of accounting and their aspects. He must have knowledge of all branches of accounting
- (c) He should have a thorough knowledge in various legislation regulating business such as Companies Act, the Indian Partnership Act, Banking and Insurance Act, Sale of Goods Act, the Indian Contract Act, etc.
- (d) He should well aware of the techniques of auditing.
- (e) An auditor should have a good knowledge in business organization and financial administration, and industrial management.

3. Personal Qualities/General Qualities of an Auditor:

- (a) Honest

AUDIT

- (b) Tactful
- (c) Ability to Work Hard
- d) Impartial
- (e) Cautious and Vigilant
- (f) Methodical
- (g) Ability to Trace out Facts and Figures
- (h) Courageous
- (i) Ability to Maintain Secrets
- (j) Ability to Communicate
- (k) Common Sense

Part II

Meaning of an Auditor

- an auditor is an independent professional who is appointed to review and assess the accuracy and validity of a company's financial statements.
- the primary role of an auditor is to ensure that the company's financial reports are free from material misstatements and in compliance with generally accepted accounting principles (GAAP), legal regulations, and other statutory requirements.

Auditors can be:

1. External Auditors: Independent professionals or firms appointed to audit a company's financial statements.
2. Internal Auditors: Employees or consultants who review internal processes, risk management, and internal controls within an organization.

Appointment of an Auditor the Provision regarding appointment of an auditor are contained in section 224 of the companies Act.

- 1 First auditor
2. Subsequent auditor
3. Appointment by Central Government
4. Appointment against the casual vacancy
5. Appointment by special resolution
6. Appointment of auditor of Government or certain other companies

1. First Auditor:

- Private Company: The Board of Directors appoints the first auditor of a private company within 30 days of incorporation. If the Board fails to appoint the auditor within this period, the company's shareholders are responsible for the appointment within the next 90 days.
- Public Company: Similar to private companies, the Board of Directors appoints the first auditor within 30 days of incorporation. If the Board does not appoint, the shareholders will appoint the auditor within the next 90 days.

AUDIT

2. Subsequent Auditor: This auditor is appointed every year by the shareholders in annual general meeting by passing an ordinary resolution. If the auditor so appointed doesn't accept the appointment, the vacancy can neither be treated as casual nor a vacancy by resignation.

3. Appointment by Central Government: If no auditor is appointed at an annual general meeting then the Central Government may appoint the auditor to fill the vacancy.

4. Appointment against a Casual Vacancy: If the casual vacancy of auditor arises due to death, insanity or insolvency, etc. the Board of Directors can fill the vacancy under the Section 224 (6).

5. Appointment by Special Resolution: In Companies Act, 1974 Section 224A, provides that if 25% or more of the subscribed capital is held whether individually or collectively by: (a) A public financial institution or Government Company or any other state government (b) Any financial institution in which state government holds not less than 51% of the subscribed capital (c) A nationalized bank or any insurance company carrying on general insurance business

6. Appointment of Auditor in Government Companies For government companies or companies where the majority of the shareholding is owned by the government:

- The Comptroller and Auditor General (CAG) of India appoints the auditor within 180 days of the commencement of the financial year.

Qualities and Qualifications of an Auditor

The qualities of an auditor as classified below.

1. Professional qualification, i.e., Statutory qualification
2. Professional qualities, i.e., Personal qualification
3. Personal qualities, i.e., General qualities

Rights of an Auditor

1. Right to Access Books and Records
2. Right to Obtain Information and Explanations

AUDIT

3. Right to Visit Branches
4. Right to Receive Notices and Attend Meetings
5. Right to Sign the Audit Report
6. Right to Report to Shareholders
7. Right to Seek Legal or Expert Advice
8. Right to Remuneration

Duties of an Auditor

1. Duty to Conduct the Audit with Due Diligence
2. Duty to Report on True and Fair View
3. Duty to Detect Fraud and Errors
4. Duty to Follow Auditing Standards
5. Duty to Maintain Confidentiality
6. Duty to Make a Qualified or Clean Report
7. Duty to Verify Assets and Liabilities
8. Duty to Report to Regulatory Authorities
9. Duty to Enquire into Specific Matters The auditor has a duty to inquire into certain specified matters under the Companies Act, such as:
 - Whether loans and advances made by the company are properly secured and accounted for.
 - Whether the company's transactions are prejudicial to the interests of its members.
 - Whether personal expenses are charged to revenue.
10. Duty to Avoid Conflict of Interest

Removal of Auditor

An auditor can be removed from office before the expiry of their term only by passing a special resolution in the general meeting and obtaining approval from the Central

AUDIT

Government. The auditor is given an opportunity to present their case before the removal process is finalized.

Remuneration of Auditor

- The remuneration of the auditor is determined by the shareholders in the AGM or by the Board of Directors when appointing the first auditor.
- The remuneration includes the audit fees, expenses incurred during the audit, and any other professional charges.

Disqualification of Statutory Auditor

1. Body Corporate: A corporate entity (except LLP) cannot be an auditor.
2. Officer or Employee: An officer or employee of the company is disqualified.
3. Relative or Partner: A partner or relative of an officer/employee is not eligible.
4. Financial Interest: Anyone holding securities or financial interest in the company or its affiliates is disqualified.
5. Indebtedness: Anyone indebted to the company over ₹5 lakh cannot be appointed.
6. Restricted Services: Providing certain services (e.g., bookkeeping, internal audit) disqualifies a person.
7. Business Relationship: A person with significant business relationships with the company is disqualified.
8. Fraud Conviction: Conviction of fraud disqualifies a person for 10 years.
9. Relative of Director: A relative in a key managerial position in the company leads to disqualification.
10. Other Laws: Disqualification under any applicable law or regulation.

Part III

Verification of Assets

Verification of assets is a process by which the auditors examine the accuracy of the assets that appear in the balance sheet. The auditor needs to that the assets shown in the Balance Sheet are correct. Verification of assets involves the following points:

1. To compare the ledger accounts with the Balance Sheet;
2. To verify the physical existence of assets as on the date of Balance Sheet
3. To satisfy that the assets are free from any charge or mortgage and that the business under audit is the real owner gage thereof and that they are under proper custody
4. Adequate disclosure of information.

Valuation of Assets

- Valuation means estimation of the assets and liabilities of the business.
- It is the duty of Auditor to ensure that assets and liabilities are appearing in the balance sheet at their correct value.
- In the absence of proper valuation of assets and liabilities, they will be mis-stated.

The difference between Verification and Valuation

S. No.	Basis of Difference	Verification	Valuation
1	Meaning	Establishes existence, ownership, and acquisition of assets.	Certifies correctness of the value of assets and liabilities.
2	Evidence	Title deed, receipt for payments, and other documents constitute evidence.	Certificate offered by the owner, directors, or experts serves as evidence.
3	Checking	Auditor verifies whether the value ascertained is fair or not.	Involves critical examination of the value of assets and comparative analysis.
4	View	Includes valuation, examination of ownership rights, existence of assets, and freedom from any charge.	Tests the exact value of an asset on the basis of its utility.
5	Work	Considered the final work.	Considered the initial work, which needs to be verified later.
6	Personnel	Performed by the auditor.	Done by the concerned authority or board of the company.

AUDIT

S. No.	Basis of Difference	Verification	Valuation
7	Time	Conducted at the end of the year.	Done throughout the year.

Vouching

Vouching is a procedure followed in the auditing process to authorise the credibility of the entries entered in the books of accounts. In simple and easier words, it can be understood as an investigation by an auditor of the documents presented by the firm to check the correctness of such documents. In general, vouchers are majorly divided into two parts

1. Primary Vouchers: The bills or the documents that are available in the original copy are known as primary vouchers.
2. Collateral Vouchers: These are the bills that are available in a duplicate copy.

Sources of Vouchers

There are two sources of vouchers.

- Internal Vouchers: The vouchers prepared by the company itself are termed as internal vouchers, such as sales invoices.
- External Vouchers: The vouchers created outside the organization are termed as external vouchers such as bank statements.

Objectives of Vouching

1. To ensure that all the transactions took place during the financial year for the business only (not for personal use) appropriately recorded in the books of accounts with true and fair evidence.
2. To check the accuracy of the totaling and carrying forward amount recorded in the books.
3. To ensure that the person responsible for the business has verified his records.
4. To make the financial records free from malpractices.
5. To make sure that law has been followed while preparing financial records.

Audit Report

An Audit report is a formal document issued by an auditor that provides the auditor's opinion on the accuracy and fairness of a company's financial statements. It represents the outcome of an audit process and gives assurance to stakeholders, such as investors, regulators, and management that the financial records are free from material misstatements, whether due to fraud or error.

Components of an Audit Report:

1. **Title:** It clearly identifies that the report is from independent auditors.
2. **Addressee:** The report is usually addressed to the shareholders or the board of directors of the company.
3. **Introduction:** Briefly explains what financial statements were audited and the responsibility of both management and the auditor.
4. **Scope:** Describes the scope of the audit, the auditing standards followed, and the procedures conducted.
5. **Auditor's Opinion:** This is the key part of the report, stating the auditor's opinion on whether the financial statements are presented fairly.
6. **Signature of the Auditor:** The auditor or the auditing firm's signature.
7. **Date of the Report:** The date the audit is completed.
8. **Auditor's Address:** The office location of the auditor or audit firm.

Types of Audit Reports

- Unqualified Audit Report (Clean Report)
- Qualified Audit Report:
- Adverse Audit Report:
- Disclaimer of Opinion:

AUDIT

1. Unqualified Audit Report (Clean Report):

- Issued when the financial statements are free of material misstatements and conform to Generally Accepted Accounting Principles (GAAP).
- Indicates that the financial health of the company is represented fairly and accurately.
- This is the best type of report a company can receive.

2. Qualified Audit Report:

- Issued when the financial statements are mostly accurate, but there are specific exceptions or limitations (e.g., a scope limitation or a disagreement with management).
- The report explains the areas of concern but overall gives a qualified opinion.
- Example: A lack of sufficient evidence for a certain area, or noncompliance with a particular accounting principle, but the rest of the financials are fairly presented.

3. Adverse Audit Report:

- Issued when the auditor determines that the financial statements are not accurate or are materially misstated and do not comply with accounting standards.
- This is a very serious report and signals significant problems with the financial health or accounting practices of the company.

4. Disclaimer of Opinion:

- Issued when the auditor cannot form an opinion on the financial statements due to a significant limitation in the audit scope or lack of sufficient evidence.
- The auditor declines to provide an opinion, often because they were unable to obtain enough information to perform a proper audit.